the 'Schedule of Calls in Arrears with Application and Allotment Book, and check the accuracy of the amount.

4. He should see that appropriate journal entry debiting Calls Account and crediting Share Capital Account has been duly made.

10.5 Audit of shares issued for consideration other than cash

Shares may also be issued for consideration other than cash. Vendors, promoters, underwriters, etc.may be allotted shares instead of making payments to them. The audit procedure followed in this regard involves examining the contract, board of director's resolution, checking the journal entries and examining the prospectus.

10.5.1. Meaning

Shares issued for consideration other than cash may arise where a company issues shares to vendors of business against purchase consideration; or to promoter's who have borne preliminary expenses, or to underwriters against settlement of under-writing commission, etc.

10.5.2. Auditors Duties

1. Examination of Contracts

Copy of contracts entered into with vendors, promoters, underwriters, etc. should be examined by the auditor to ensure that the allotment is made as per the agreements. The amount of purchase consideration for the vendors, nature and amount of consideration for the promoters, remuneration to underwriters would be mentioned in their respective agreements.

2. Examination of Prospectus

He should examine the Prospectus to ensure that conditions lay down such as details of the amount payable to the vendors, promoters, and underwriters and the mode of payment.

Section 2(70) of the Companies Act, 2013 defines a Prospectus as "any document described or issued as a prospectus and includes a red herring prospectus referred to in section 32 or shelf prospectus referred to in section 31 or any notice, circular, advertisement or other document inviting others from the public for the subscription or purchase of any securities of a body corporate."

"SHELF PROSPECTUS" means a prospectus in respect of which the securities or class of securities included therein issued for subscription in one or more issues over a certain period without the issue of a further prospectus.

"RED HERRING PROSPECTUS" means a prospectus, which does not include complete particulars of the quantum or price of the securities included therein.

3. Verify Directors Minute Book

The auditor should examine the Minutes of the Board of Directors to ensure that the allotment is authorized by the Board.

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